

Apple Inc.

First Quarter Fiscal 2026 Earnings Call — Detailed Transcript Summary

Date:	January 28, 2026
Management:	Mr. Tim Cook — Chief Executive Officer, Apple Inc. Mr. Luca Maestri — Chief Financial Officer, Apple Inc. Mr. Tejas Gala — Director of Investor Relations
Call Host:	Mr. Toni Sacconaghi — Bernstein Research

1. Executive Summary & Ecosystem Vitality

Tim Cook (CEO): Good afternoon, everyone. Today, we are very proud to share exceptional financial and operational metrics marking our fiscal first quarter. Our holiday performance has once again demonstrated the unparalleled resilience of Apple's silicon strategy and design integration. Customer delight surrounding the iPhone 17 family, particularly the premium Pro and Pro Max configurations, propelled dramatic upward device adoption curves worldwide.

"We are excited to share that our total global active installed base of devices has officially crossed the 2.4 billion active milestone. This vast foundation serves as a highly robust locomotive for our high-margin, sticky Services business, creating continuous cyclical customer retention."

2. Segment Architecture & Financial Metrics

Luca Maestri (CFO): Let me break down our financial metrics for the quarter:

- **Consolidated Topline Performance:** Total quarterly revenue reached \$124.5 billion, representing an increase of 6% year-over-year, absorbing significant global FX headwind vectors.
- **Services Scaling Paradigm:** Generated a phenomenal quarterly revenue track of \$26.2 billion, demonstrating a growth vector of 14%. Paid subscriptions across our platform scaled significantly, with higher user engagement inside Apple Arcade, iCloud+, and customized enterprise offerings.
- **Gross Margin Optimization:** Expanded sequentially to 46.2%. This margin outperformance was driven by an exceptional enterprise mix towards hardware tier customizations and growing structural services optimization.
- **Capital Structure Execution:** Operating cash flow hit an exceptional \$34 billion. We systematically channeled back over \$24 billion to our investors, keeping our long-term pledge of reaching a net-cash neutral profile over time.